**Revision Date:**
12/01/2020

**Background:**
Known under the Affordable Care Act (ACA) as Non-Modified Adjusted Gross Income (Non-MAGI) category, the Aged and Disabled Federal Poverty Level (A&D FPL) Program provides zero Share of Cost (SOC) Medi-Cal to eligible aged or disabled individuals throughout the State of California. The A&D FPL Program was established January 1, 2001.

**Purpose:**
This section identifies potentially eligible A&D FPL individuals and describes instructions to determine eligibility and level of benefits. This section has been updated to include the new income limit of 138% of the FPL and remove the program income disregard of $230 for individuals, $310 for couples and is **effective December 1, 2020.** This section was also updated with changes to how the Medicare Part B deduction is applied to the A&D FPL budget effective December 1, 2020.

**Policy:**
A potentially eligible A&D FPL individual is aged or disabled, but not residing in a Long-Term Care (LTC) Facility. There is no age limit for those in the disabled category therefore disabled children may be evaluated for this program. Blind individuals may also be eligible to the A&D FPL Program if they meet the aged or disabled criteria. When applicants are blind and not in receipt of Title II disability benefits, evaluate for the Federal Poverty Level for the Blind (FPLB) program, refer to MPG 05.19.02.

**A. Income Eligibility Requirements**
Non-MAGI income rules apply to A&D FPL income evaluations including allocating to other public assistance (PA) spouses (Refer to MPG Article 10 for income guidelines). Effective 12/1/2020, the individual's net non-exempt income must be at or below 138% of the FPL for the applicable family size after deductions. Also effective 12/1/2020, do not apply the standard deductions ($230 for an individual and $310 for a couple) in A&D FPL Program evaluations. For definitions and examples, see Desk Aid 88.

**B. Property Standards**
Non-MAGI property rules apply to the A&D FPL property evaluation. Refer to MPG Article 9.

**C. Application Process**
Effective January 1, 2014, Medi-Cal applicants, are screened for eligibility to MAGI Medi-Cal as part of the Medi-Cal hierarchy application process. See Desk Aid 74 for the Medi-Cal hierarchy when determining eligibility. When no eligibility to MAGI Medi-Cal exists, Medi-Cal applicants, not residing in LTC, will be screened for eligibility to the A&D FPL Program. The order of evaluation when determining A&D FPL eligibility is as follows:

1. Pickle
2. A&D FPL/Aged, Blind, or Disabled Medically Needy (ABD MN) Zero SOC
3. Federal Poverty Level for the Blind
4. Aged, Blind and Disabled Medically Needy (ABD MN) SOC
5. 250% Working Disabled

A&D individuals are potentially eligible to three months of retroactive benefits when eligibility requirements are met in the preceding months.

**D. Deductions**
Apply all applicable non-MAGI income deductions including the $20.00 any income, health insurance premiums, and, where the customer has earned income, the $65.00 and one-half earned income deductions.

Effective December 1, 2020, deduct the Medicare Part B Premium amount whether it is paid by the customer or the state. Do not remove the Medicare Part B premium deduction from the A&D FPL budget when the state begins paying the premium.

ABD applicants in licensed board and care (B&C) may be evaluated for the A&D FPL Program and are eligible to all B&C deductions. They are entitled to receive either the personal care service (PCS) deduction or the income deduction for excess B&C (MPG 10.06.08). These deductions will be used in the A&D FPL income evaluation.

**E. Case Composition**
A&D FPL eligible individuals will be in their own Medi-Cal Family Budget Unit (MFBU) and eligible couples will remain together in one MFBU. A&D FPL eligible individuals and couples will be ineligible members in the MFBU for other family members applying for or receiving Medi-Cal benefits. The income of the A&D FPL individual(s) is included in the other family member's budget and the maintenance need level for the family will include the A&D FPL individual(s).

If a couple is eligible, both spouses will be on the A&D FPL Program; however, if both spouses cannot qualify as a couple for the A&D FPL Program, either spouse can apply separately to qualify. The spouse that chooses not to be in the A&D FPL Program may choose not to be on Medi-Cal or may qualify through the MN Program with a SOC. It is possible for spouses to be in two different programs.

A&D FPL individuals may be determined eligible to the Qualified Medicare Beneficiary (QMB) program or the Specified Low-Income Medicare Beneficiary (SLMB) program.

See Desk Aid 88 for examples of different A&D FPL households.

**F. Level of Benefits**
A&D FPL eligible individuals who are United States (US) Citizens, US Nationals or immigrants with Satisfactory Immigration Status (SIS) will receive full-scope benefits. A&D FPL eligible immigrants without SIS will receive restricted benefits. The following aid codes are used for this program:

- 1H Full-Scope FPL Aged Individuals
- 6H Full-Scope FPL Disabled Individuals
- 1U Restricted FPL Aged Individuals
- 6U Restricted FPL Disabled Individuals

**Note:** A&D FPL eligible blind individuals are linked as either aged or disabled.

**G. Redeterminations and Period of Eligibility**

Eligibility for the A&D FPL program must be redetermined annually. Regular Medi-Cal redetermination procedures are followed for this program. At redetermination, all A&D Medi-Cal beneficiaries, except for Pickle/Disabled Adult Child (DAC) beneficiaries, will be evaluated using Non-MAGI program regulations.

**Procedure:**

N/A

**Program Impacts**

Forms and Document Capture

Discontinue use of form MC 176AD. A new manual budget form will be issued shortly.

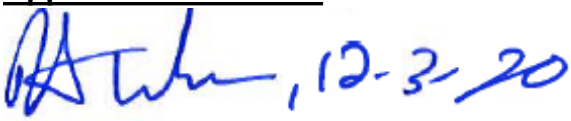
**References:**

ACWDL 01-18, 02-38, 06-41, 09-28, 20-02, and 20-18

**Sunset Date:**

This policy will be reviewed for continuance by 12/31/2023.

**Approval for Release:**



Rick Wanne, Director
Eligibility Operations

| Federal Poverty Level for the Blind | Number | Page |
|---|---|---|
| | 05.19.02 | 1 of 2 |

**Revision Date:**
08/01/2018

**Background:**
This program covers blind individuals pursuant to Title XVI who have not yet or cannot meet the Title II criteria for disability based upon blindness. This section is being updated to the new format, no other changes were made.

**Purpose:**
This section is to provide guidelines for the Federal Poverty Level Program for the Blind (FPLB).

**Policy:**
The Federal Poverty Level Program for the Blind (FPLB) mirrors the eligibility criteria for the A&D FPL Program, except the linkage is based on blindness and the income limit may be higher for couples. Aid code 2H is effective July 1, 2009.

**A. General Rule**
FPLB is available for blind individuals whether they previously applied for or received SSI/SSP and were denied or discontinued or applied for Medi-Cal-only.

FPLB is available for the following blind individuals who:

- Have not met or who cannot meet the Title II criteria for disability based blindness
- Meet the Title XVI criteria for blindness
- Allege that they have blindness and who are waiting disability evaluations
- Have had medical determination verified by a doctor

A person is considered to be blind if there has been a medical determination verified by a doctor that they have either of the following conditions:

- Central visual acuity if no more than 20/200 with corrections
- Tunnel vision, which is a limited field of 20 degrees or less

Any disability determination based upon blindness would only change retroactively, when it would have a positive effective for all family members living in the home. The effective date of the positive retroactive change would go back to the onset date of disability for the Medi-Cal recipient or July 1, 2009.

Persons eligible under FLPB must meet the property, citizenship, alien status, residency, institutional status, and cooperation requirements specified in MPG Articles 4, 6, 7 and 9. They must also meet the SOC requirement in MPG 12.01.

**B. Case Composition**
FPLB eligible individual(s) will be in their own MFBU and eligible couples will remain together in one MFBU. FPLB eligible individuals and couples will be ineligible members of the MFBU of other family members applying for or receiving Medi-Cal benefits. The income of the FPLB individual(s) will be included in the other family members' budget and the maintenance needs level for the family will include the FPLB individual(s).

FPLB individuals may be determined eligible to the QMB program or the SLMB program.

**C. FPLB Income Limit**

As stated above, the eligibility criteria for the FPLB Program mirrors the A&D FPL Program except that linkage is based on blindness and the income limits may be higher for couples.

The income limits for the FPLB Program must be the greater of:

- The Supplemental Security Income/State Supplementary Payment (SSI/SSP) rates, or
- 100 percent of FPL plus the standard deduction (A&D FPL Disregards)

**Note**: On years where the SSI/SSP payment rate is higher than 100 percent of FPL plus the standard deduction, the income limit must be the SSI/SSP payment rate. The income limit for FPLB will be updated annually.

**Procedure:**

N/A

**Program Impacts:**

Automation: CalWIN functionality does not evaluate for FPLB eligibility. Follow the FPLB Processing Guidelines located in Eligibility Essentials website when completing an FPLB evaluation.

**References:**

ACWDL 09-18, 09-20, 09-28, 12-11

**Sunset Date:**

This policy will be reviewed for continuance on or by 08/31/2021

**Approval for Release:**



Rick Wanne, Director
Eligibility Operations

**Revision Date:**
08/01/2018

**Background:**
This program was implemented and intended to promote self-sufficiency and encourage the disabled to seek employment without fear of losing essential health care. The State has elected to impose a monthly premium on a sliding scale instead of a SOC for those eligible to the 250% WD Program. In addition to reformatting this section, procedures have been moved to Processing Guide 28 and the appendices to Desk Aids.

**Purpose:**
This section provides guidelines for the 250% WD Program.

**Policy:**
The 250% WD Program is an optional program. The individual may choose to participate in either a SOC program to which they are eligible or the 250% WD Program.

**A. Eligibility Criteria**
All applicants/beneficiaries must:

- Meet all non-financial Medi-Cal program eligibility requirements
- Meet the federal definition of disability as defined in federal law for Social Security disability programs, except that Substantial Gainful Activity (SGA) rules don't apply
- Work as defined in MPG 05.19.03E below
- Have net non-exempt countable income less than 250% of the FPL
- Have net non-exempt property within Medi-Cal limits
- Meet the eligibility requirements of the SSI/SSP program as outlined MPG 05.19.03I and N below
- Pay a monthly premium based on net countable income
- Not residing in LTC

Reporting responsibilities are the same for the 250% WD Program as other Medi-Cal programs.
250% WD beneficiaries are entitled to a state Medicare Part B buy-in.

Disabled individuals who are working and have been previously denied SSDI benefits by Social Security based on the capacity to perform SGA or insufficient work quarters shall be evaluated for Medi-Cal eligibility under the 250% WD Program.

**B. SSDI Requirements for 250% WD**
When the applicant/beneficiary's gross earnings are below the SGA limit, they must be referred to apply for SSDI.

**Note:** If the gross earnings of a 250% WD beneficiary decrease below SGA, the beneficiary is then required to apply for SSDI.

**C. Aid Code**
Adults and children in the 250% WD Program are placed in aid code 6G.

**D. Definition of a Child**

For the 250% WD Program, a child must be unmarried and not be the head of a household and either under the age of 18 or under the age of 22 and a student regularly attending school, college or a training that is designed to prepare him/her for a paying job.

**E. Work Requirements**

"Work" is undefined for the purposes of this program and there is no minimum work requirement in order to qualify. However, the individual must be able to prove they are working or temporarily unemployed as follows:

- Full time work
- Part time work
- Self-employment with countable earnings at or below the 250% of the FPL
- Receiving earned in-kind income
- Receiving unemployment

**F. 250% Working Disabled Case Composition**

The Medi-Cal household composition is determined as follows:

| If the 250% WD eligible is a… | Then… |
|---|---|
| Child or adult | His/her own MFBU |
| Couple and both are 250% WD eligible | Couple will be together in one MFBU |
| Couple and only one is eligible | Each spouse will have their own MFBU |
| Parent | WD eligible child will be in a separate MFBU |

**Note**: All cases must be evaluated for good cause before discontinuance. Good cause includes:

- Hospitalization
- Inability to work that is directly related to the disability
- Former worksite closure
- Loss of transportation

If good cause exists and the beneficiary meets all other eligibility requirements, continue the eligibility of the beneficiary for two months following the month that the work ceased.

**G. 250% WD Net Non-exempt Income Exceptions**

Income is determined in accordance to MPG 10.01 with the following exceptions:

- **In-Kind Income** – use SSI program requirements for treating in-kind support and maintenance (ISM) as unearned income. ISM rules and chart may be found in Desk Aid 89.
- **Disability Income** – All disability income, including worker's compensation, of the working disabled individual is disregarded (e.g., federal, state or private disability income).
- **Impairment Related Work Expenses (IRWE)** – IRWE also applies to the 250% WD Program.
- **Spousal/Parental Deeming** – Spousal/parental deeming based on SSI methodology applies to the 250% WD Program. Use form MC 338J to assist in this computation.
- **Child Support** – One third of child support received by an applicant who is a child is disregarded. The remainder is treated as unearned income.
- **Social Security income based on disability converted to Social Security retirement** – Recipients of Social Security income based on disability may become eligible for increased

benefits when they reach retirement age or have some other qualifying event. All Social Security income based on *disability* that converts to Social Security income based on *retirement* is exempt including, but not limited to:

- Social Security Disability Benefits, including any increases (cost of living)
- Disabled Widow/er's Benefits
- Disabled Adult Child (DAC) Benefits

**Note:** Retirement income from sources other than Social Security is not exempt. Verify that the Social Security disability income converting to Social Security retirement income doesn't include retirement income from other sources such as public or private retirement. Refer to BEnDS #752 for detailed CalWIN instructions on exempting income.

**H. 250% WD Net Non-exempt Property**

The property amount for a 250% WD applicant is determined in accordance with MPG 09.02. The following items are exempt:

- Retirement arrangements authorized under the Internal Revenue Code
  - Individual Retirement Accounts (IRAs)
  - Work related pension funds for income when employment ends, which are administered by an employer or union, including such plans as Deferred Compensation Plans and Thrifts Plans
  - Plans for self-employed individuals such as KEOGH Plan
- Retained Earned Income which is defined as earned income held in a separate identifiable account and not comingled with other resources. **NOTE**: There is no maximum limitation on the amount that an individual can keep in their separately identifiable account as exempt retained income.

**I. SSI/SSP Property**

To meet the SSI/SSP property test, the net non-exempt property of an individual or child must be at or below the Medi-Cal property level for one. If there is a spouse, net non-exempt property must be below the Medi-Cal property level for two. Form MC 338C is available for the property determination.

**J. Non-Citizen Eligibility to the 250% WDP**

Non-Citizens lawfully residing in the United States and were receiving SSI on August 22, 1996, meet the SSI non-citizen status and may be eligible to the 250% WDP.

**Note:** Non-Citizens who are or would be eligible to restricted-scope Medi-Cal benefits are not eligible for the 250% WDP.

**Procedures:**

**K. Determine Disability**

A person is considered disabled if he/she meet the criteria in Title II or Title XVI of the Social Security Act. Refer to Processing Guide 28 for procedures to follow when an applicant has not had a disability determination or it is no longer current.

In situations where the applicant's DDSD packet has already been submitted, do not submit a new DDSD packet. When an individual moves from one program to another, a new referral is not needed.

**L. Application Processing**
The 250% WD Program is an optional program that staff should offer when a working and disabled person is not eligible to MAGI or Non-MAGI zero SOC programs. Applicants/beneficiaries may choose to participate in either a SOC program to which they are eligible or the 250% WD Program.

1. Provide the 250% WD Comparison Brochure (14-110 HHSA) to the individual and allow the individual to choose which program they prefer.
2. When notified of their choice, place the individual in the appropriate aid code.

**M. Reports Temporary Unemployment**
Continue the 250% WDP benefits for up to 26 weeks. The timeline for measuring the period of unemployment will begin the date the 250% WDP beneficiary reports their unemployment or the date the worker verifies unemployment through IEVS. Refer to Processing Guide 28 for steps to take when the applicant/beneficiary reports temporary unemployment.

**N. Determine if Income is at or Below 250% FPL**
To determine whether the applicant(s) are below the 250% FPL and meet the SSI/SSP income test, only consider the income for the 250% WD individual, their spouse and/or their parents (if a child).

The following forms are associated with the budget computations:

- MC 338 – 250 Percent Income Test Worksheet for the 250% WD Program
- MC 338B – 250% and the SSI/SSP Income Test Worksheet for the 250% WD Program-Child applying with or without Ineligible Parent(s)

**O. Determine Premium Amount**
The monthly premium will be determined using the net non-exempt income level criteria outlined in 05.19.03F and using the 250% WD Premium Payment Chart (Desk Aid 91). Refer to Processing Guide 28 when 250% WD beneficiary reports a change in income.

**P. 250% WD Program Approvals**
See Processing Guide 28 for required actions.

**Q. Discontinue for Failure to Pay Premiums**
Discontinuances are processed by DHCS when full premiums have not been paid for two consecutive months excluding retroactive months. Refer to Processing Guide 28 for procedures.

**R. Collection of Premiums**
Premium payments will be returned to the DHCS, Third Party Liability Branch (TPLB). TPLB will process premiums as they are received. If a partial premium for a month is received, it will be deposited and reported to MEDS. MEDS program logic will be able to recognize both full and partial premium payments allowing for multiple premium payments to be made for each month.

**Program Impacts:**
Forms: MC 338 and 14-110 HHSA Comparison Brochure are available in the EO Forms Repository

**References**:
ACWDL 00-16, 00-51, 01-14, 02-34, 02-39, 04-30, 09-28, 09-29, 09-33, 11-38, 11-41, 17-23, 17-31
18-05

**Sunset Date**:
This policy will be reviewed for continuance on or by 08/31/2021

**Approval for Release**:



Rick Wanne, Director
Eligibility Operation